BUSINESS SALES PERFORMANCE ANALYSIS

Key Insights & Business Recommendations | Maincrafts Technology | FY 2024

PERFORMANCE SNAPSHOT — FY 2024

Total Sales	Total Profit	Profit Margin	Total Orders
Rs. 29,34,235	Rs. 4,87,106	16.60%	150

KEY INSIGHTS

1. Electronics Dominates but Margins Are Thin: Electronics is the revenue powerhouse contributing 69.2% of total sales at Rs. 20,30,096. Headphones (Rs. 5,32,087), Laptops (Rs. 4,81,702) and Tablets (Rs. 4,42,486) are the top three products. However, Electronics carries the lowest profit margin at only 13.6%, meaning high revenue is not translating into proportional profitability. Every rupee sold in Electronics generates far less profit compared to other categories.

2. South Leads, West Lags — Regional Imbalance is Critical: South region is the top performer at Rs. 8,28,292 (28.2%) while West significantly underperforms at Rs. 6,03,441 contributing only 20.6%. This 7.6% gap between the best and worst region with the West having 38 orders — more than East's 32 — yet lower revenue per order signals pricing or product mix issues specific to the West region.

Region	Sales (Rs.)	Share	Profit (Rs.)	Orders
South	8,28,292	28.2%	1,42,901	46
North	7,66,618	26.1%	1,16,760	34
East	7,35,884	25.1%	1,26,343	32
West	6,03,441	20.6%	1,01,101	38

3. Clothing & Stationery Are Hidden Profit Champions: Despite contributing only 2.0% and 1.1% of total revenue, Clothing and Stationery deliver margins of 37.3% and 30.9% respectively — nearly 3x higher than Electronics. These are significantly underutilized categories. Modest volume increases here would have an outsized positive impact on overall business profitability.

4. June Slump and Q4 Surge Define the Sales Calendar: Monthly trend analysis reveals a sharp mid-year dip in June 2024 (Rs. 99,756) — the lowest month, nearly 4x below peak. A strong festive season recovery drove November 2024 to the best month at Rs. 4,25,174. This clear seasonality pattern means revenue is heavily concentrated in Q4, making business performance vulnerable to any disruption during that period.

5. Top 5 Products Carry the Business: The top 5 products — Headphones, Laptop, Tablet, Smartphone, and Sofa — account for the bulk of total revenue. Notably Sofa from Furniture holds fifth position with a strong 23.2% category margin. In contrast, the bottom products (File Folder at Rs. 4,176 and Planner at Rs. 5,128) contribute almost nothing and may not justify inventory costs.

#	Product	Category	Sales (Rs.)	Profit (Rs.)
1	**Headphones**	Electronics	5,32,087	70,393
2	**Laptop**	Electronics	4,81,702	59,277
3	**Tablet**	Electronics	4,42,486	63,077
4	**Smartphone**	Electronics	3,42,039	49,715
5	**Sofa**	Furniture	2,50,245	59,692

BUSINESS RECOMMENDATIONS

Rec 1. Activate West Region with Targeted Campaigns: West has 38 orders but the lowest revenue — indicating low order value per transaction. Management should deploy region-specific promotional offers, review the product mix being sold in West, and assign dedicated sales targets. Closing the gap between West and South could generate Rs. 2,00,000+ in additional annual revenue.

Rec 2. Scale Up High-Margin Categories: Bundle Clothing and Stationery products with high-volume Electronics purchases. Introduce combo offers such as buy a Laptop and get a Planner set free. Even a 3x increase in Clothing and Stationery volumes would add Rs. 1,20,000+ to profit without any change in Electronics performance.

Rec 3. Launch a Mid-Year Sales Campaign to Beat the June Dip: The June slump is predictable and therefore preventable. A flash sale in May-June, loyalty rewards for repeat customers, or a new product launch in Q2 would smooth the revenue curve. Bringing June from Rs. 99,756 to even Rs. 2,00,000 would improve annual revenue by 3.4%.

Rec 4. Improve Electronics Profit Margin via Premiumisation: Introduce premium variants, extended warranty upsells, and accessory bundles for high-selling Electronics. Even a 2% margin improvement on Rs. 20,30,096 Electronics revenue would generate Rs. 40,600 additional annual profit with no increase in volume required.

Rec 5. Plan Festive Season Inventory 3 Months Early: Q4 (Sep-Nov) drives peak sales. Begin supplier negotiations, stock procurement, and marketing campaigns by August to fully capitalize on festive demand. Early preparation could push November revenues beyond Rs. 5,00,000 and reduce the December drop-off seen in 2024 (Rs. 2,06,098).

Prepared by: Harsh Parmar
Business Analytics Intern | Intern ID: MT5535

Maincrafts Technology
Task 1 — Business Analytics | June 2026